

# THE DAILY FINANCE BRIEF

Financial News in Plain English

Thursday, August 20, 2026

Edition No. 41

Personalised for Rishabh Srinivasan

## ECONOMY

# U.S. National Debt Hits \$40 Trillion: What It Means for You

On August 19, 2026, the total amount of money the U.S. government owes, known as the national debt, reached a staggering \$40 trillion. This increase is significant, as it has risen rapidly from \$39 trillion just five months earlier. The rise in debt is largely due to higher spending on defense, social programs like Social Security

and Medicare, and increasing interest payments on the debt itself.

This growing debt can impact everyday Americans in various ways, including potential tax increases or cuts to public services in the future. Understanding how national debt affects the economy is crucial for everyone.

Source: WHSV

## MARKETS

### Gold Prices Rise 3%: What You Need to Know

On August 19, 2026, the price of gold increased by 3%, reaching about \$4,460 per ounce. This rise was triggered by the U.S. Treasury Department's announcement to double its buyback operations for government bonds, which are loans that investors give to the government. As a result, the value of the U.S. dollar weakened, making gold, which does not earn interest, more attractive to investors.

This increase in gold prices can affect everyday people, particularly those who invest in gold or buy gold jewelry, as it may lead to higher prices for these items.

Source: Anadolu Agency

### Bitcoin Price Jumps to \$68,000: What It Means for Investors

On August 19, 2026, the price of Bitcoin, a popular digital currency, surged over 6% to reach \$69,700. This increase followed the U.S. Treasury's announcement to double its bond buyback operations, which weakened the U.S. dollar and boosted interest in cryptocurrencies. Other digital currencies like Ethereum and Solana also saw significant gains.

This rise in Bitcoin's price can affect everyday investors, as it may present new opportunities for those looking to invest in cryptocurrencies.

Source: Geo News

## ECONOMY

### U.S. Treasury Takes Action to Lower Long-Term Interest Rates

On August 19, 2026, the U.S. Treasury Department announced plans to double its purchases of long-term government debt, which are loans that investors give to the government. This move aims to stabilize rising long-term interest rates, which are the costs of borrowing money for ex-

tended periods. The Treasury's actions reflect concerns over the growing national debt, now exceeding \$40 trillion.

This announcement can impact everyday borrowers, as lower long-term interest rates may lead to cheaper loans for homes and cars.

Source: Le Monde

## Global Markets Drop as U.S. Treasury Yields Rise: What It Means for You

On August 19, 2026, global financial markets experienced significant declines as the yield on 30-year U.S. Treasury bonds rose to 5.33%, the highest level in 17 years. This increase raised concerns about rising borrowing costs and market volatility. Asian markets were particularly affected, with major declines in South Korea and Japan.

This drop in global markets can impact everyday investors, as it may lead to lower returns on investments and increased uncertainty in the market.

Source: KuCoin

## AI Sector Shifts Focus to Software Amid Rising Interest Rates

As long-term Treasury yields rise to multi-year highs, the artificial intelligence (AI) sector is seeing a shift in profitability from hardware to software. Companies that provide software solutions are becoming more attractive to investors as they offer more stable returns in a high-yield environment. This trend reflects changing investor strategies in response to rising costs of capital.

This shift can impact everyday consumers as software solutions become more prevalent in various industries, potentially leading to better products and services.

Source: Stocks Today

### FEATURE

### EXPLAINER OF THE DAY

## What Are Bond Buybacks? A Simple Explanation

A bond buyback is when a government repurchases its own debt securities from the market before their maturity date. This strategy helps manage national debt levels and can influence interest rates, which are the costs of borrowing money. Recently, the U.S. Treasury announced an expansion of its bond buyback program to stabilize rising long-term interest rates.

This concept is important for everyday people because it affects how much it costs to borrow money, which can impact loans for homes and cars.

Source: Anadolu Agency